

Because cash value life insurance can be both expensive and confusing, it's an area where expert advice might help. "Fee-only" insurance consultants are considered unbiased because they don't get commissions from the insurance or investments they recommend. Glenn Daily, one of the pioneers in this field, keeps a short list of fee-only consultants on his website, www.glenndaily.com/glenndaily.htm.

How to Shop for Term Insurance

Okay. So you get that you're best off purchasing a term policy, but there are still two basic types of policies to choose from. (It's never simple, is it?)

Annual renewable term is coverage that doesn't require you to take a medical exam each year to renew it, though each year your premium will usually increase somewhat. A **level premium policy** lasts for a fixed number of years (commonly ten or twenty) and allows you to lock in a premium for that period of time. Some level premium deals will guarantee you twenty years at the same premium; others may guarantee the coverage for twenty years but only guarantee the same premium for five or ten years. After your coverage period ends, you usually have to pass a medical exam in order to renew at attractive rates; otherwise, your premium will increase dramatically.

Although annual renewable policies may cost less at the beginning, level premium policies may be less expensive in the long run. You should definitely consider a level premium policy if you're able to afford it. Look for a policy that guarantees the premium for at least ten years, and compare the cost to that of an annual renewable term policy.

One final tip: Look for a term policy that you are able to convert to a low-cost cash value policy at any time, regardless of your health. As mentioned above, you may decide when you're older (and contributing the maximum to your retirement plans) that you want to purchase a cash value policy.

You have many options when shopping for term insurance. Try contacting individual firms that sell low-load policies, like TIAA-CREF (www.tiaa-cref.org; 800-531-8000) and Ameritas (www.ameritas.com; 800-745-1112). In addition to getting quotes from agents, check out sites that will let you compare quotes from different firms side by side. One highly